



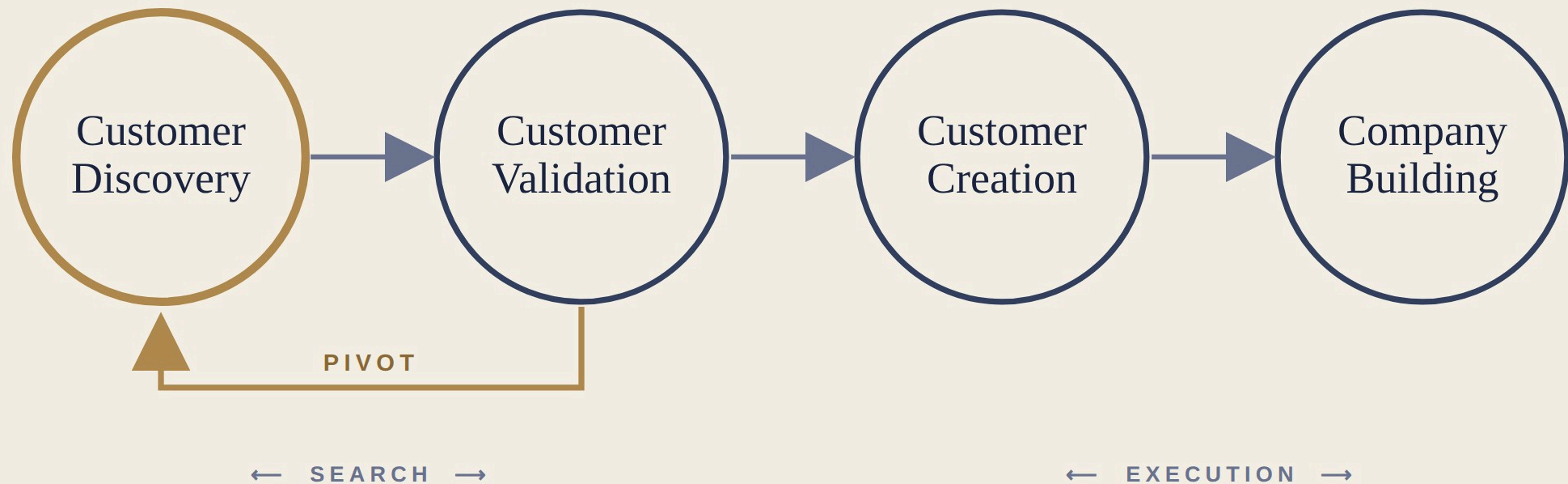
FITLER MBA · SESSION 03 · JUNE 23

Business Model Innovation

Every box is a bet.

WHERE WE ARE

Last session: is the **problem** real?
Tonight: is the **business** real?



I told you we'd validate next - and we will. By the end of tonight you'll design the test for the single riskiest piece of your model.

Customer Development, after Steve Blank · we ran Discovery - tonight, the business model that turns a validated problem into a company

THE REFRAME

Your product is not your business.

A business model is how a company **creates** value, **delivers** it, and **captures** some back as money. Same product, different model - and the outcomes split.

THE MODEL MADE IT



Gillette

Razor cheap. Blades forever.



Salesforce

Rent the software, don't sell a box.



Amazon

Thin margins, the flywheel, Prime + AWS.



Nike

Owens the brand. Outsources the factory.

THE MODEL BROKE IT



WeWork

Long leases, short memberships, priced like software.



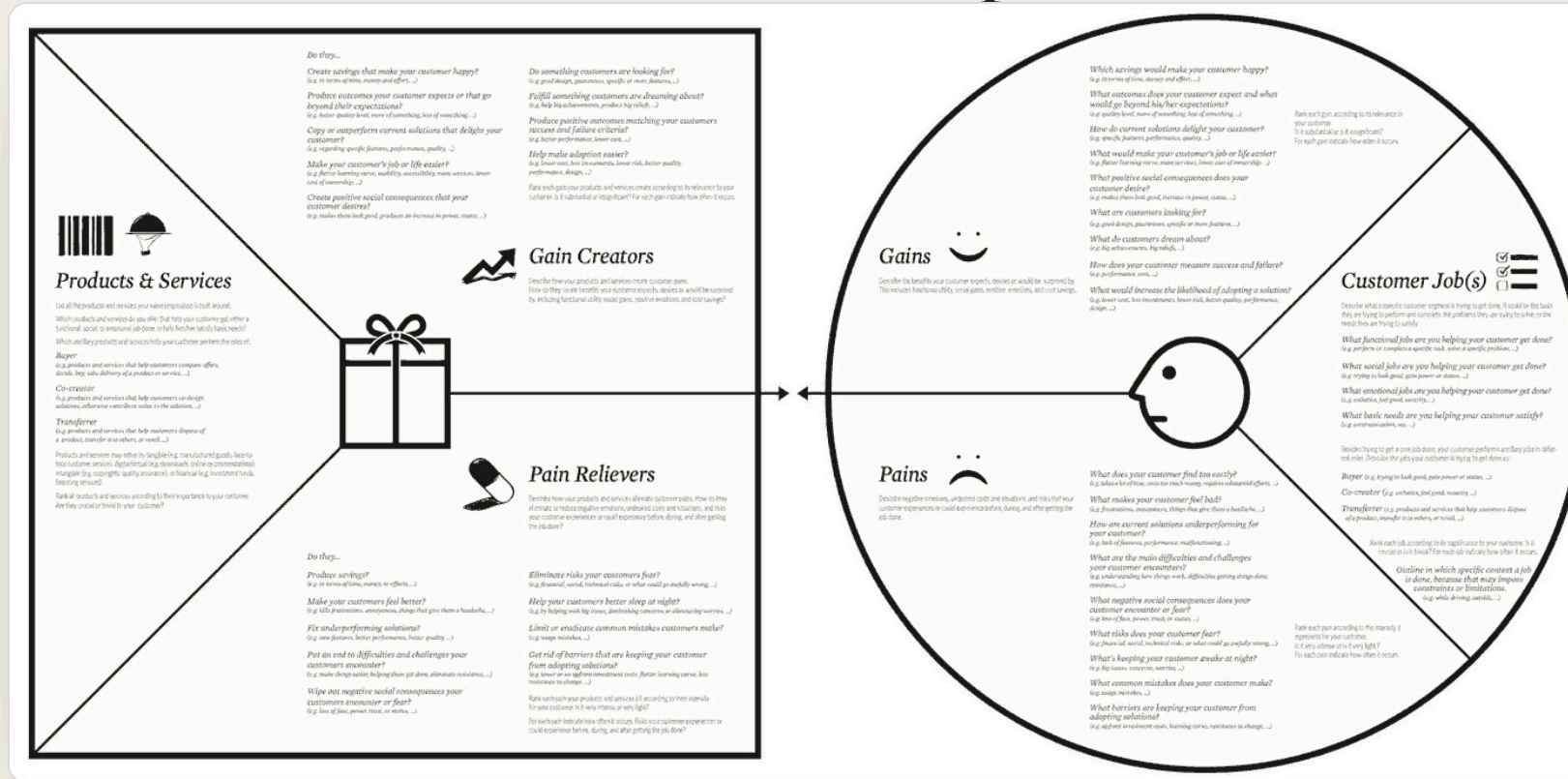
Windows Phone

No apps, no users, no apps. The market never formed.

Every piece of a model is a bet - some you know cold, some you're quietly guessing. **Hold that thought.**

YOU ALREADY OWN A PIECE OF THIS

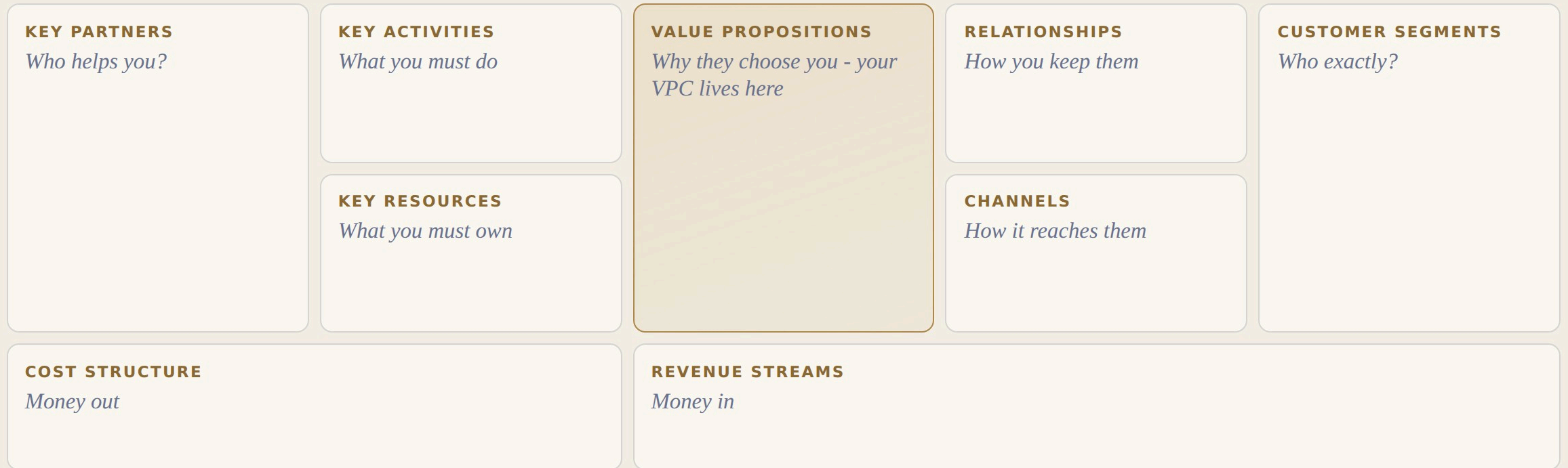
Remember the Value Proposition Canvas?



That whole canvas you built last session is just **one box** of a bigger picture - the heart of it. Now let's meet the other eight. Value Proposition Canvas, after Osterwalder · your S02 takeaway

THE BUSINESS MODEL CANVAS

Nine boxes. One page. The whole company.



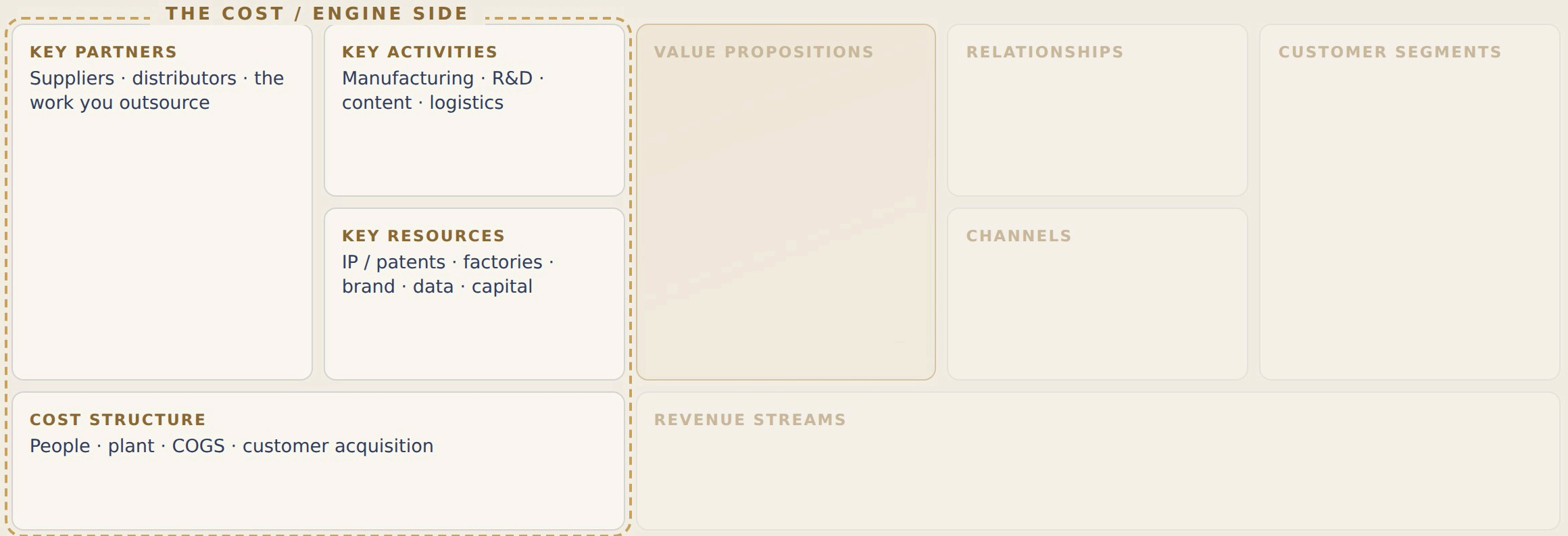
after Osterwalder · read it right to left: customer first, engine last

THE HALF THAT MAKES MONEY



Examples, not definitions - the real ones come from your customers

THE HALF THAT COSTS MONEY



Examples, not definitions - we'll come back to the engine in more detail

HOW THE MONEY COMES IN

Revenue Streams & Structure

One-Time Sale

a car · a laptop · a Torev motor

You sell the thing once. Simple, but you're always hunting the next sale.

Subscription

Netflix · the gym · your phone plan

A recurring fee for ongoing access. Predictable - if they don't churn.

Transaction / Marketplace

Airbnb · eBay · Uber

You take a cut of every deal you enable. Scales with volume, not headcount.

SaaS / Per-Seat

Salesforce · Slack

Software priced by the user or by usage. Lands and expands inside an account.

Licensing / Royalty

Dolby · ARM · branded IP

A fee per unit someone else ships. You monetize the idea, not the factory.

Hands up - which of these is Torev? Call it out.

Does *one* sale make money?



PRICE

—



UNIT COST

=



MARGIN

Before fixed costs, before scale: does a single transaction make money? If the answer is no, growth makes it *worse*. **You can't out-scale negative unit economics.**

LTV, CAC, payback, runway - the full financial picture is Session 04. Tonight, just one unit.

We'll build a real one. Live.

Torev Motors - a company I sit on the board of, and one that fills every box with real weight. We'll build its canvas together, then find the single box we'd least want to be wrong about.

I ask the questions. You take the swings. Then we'll know what's worth testing first.

10-minute break · come back ready to argue

PAUSE

Break

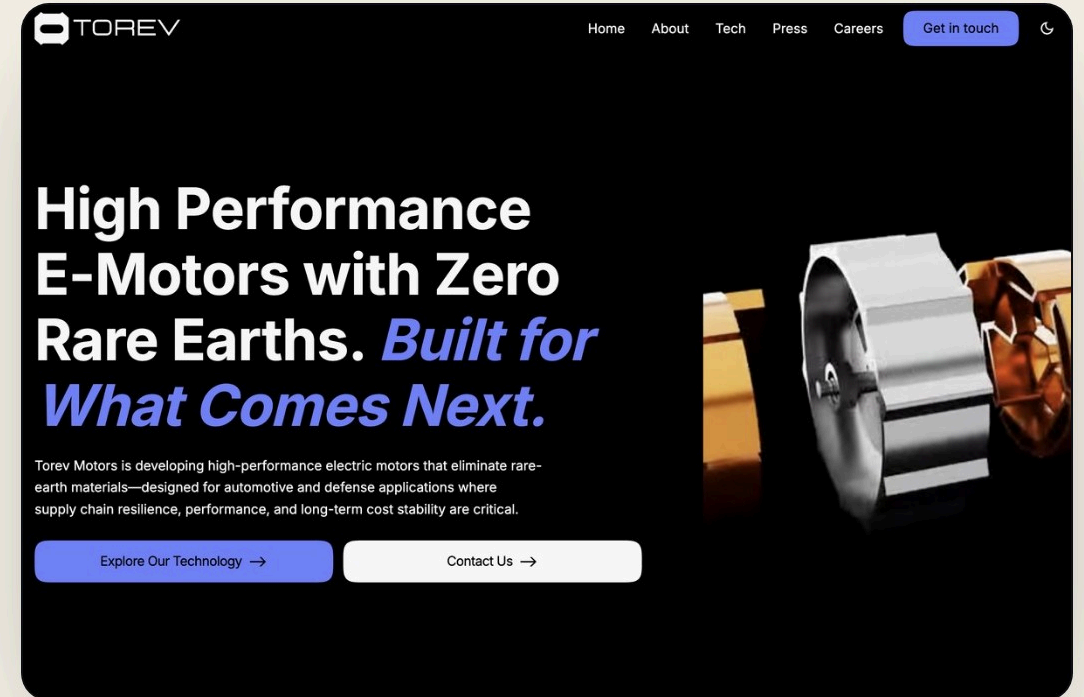
Back in ten.

Next: we build Torev's business model, live.

Torev Motors

A company that designs and builds a real, physical product - which is exactly why it's the perfect first canvas. Every box has weight: real customers, real channels, real factories, real partners, real capital. Nothing here is hand-wavy.

Scott gives the 60-second backstory - then we build it as a room.



BUILD IT - TOGETHER



AI tip: Have Claude draft a first-pass BMC from a description of your idea & product - then interrogate every box yourself.

THE WHOLE COMPANY · ONE PAGE

KEY PARTNERS

- Non-rare-earth material suppliers
- Contract manufacturers
- OEM / defense programs

KEY ACTIVITIES

- Motor R&D & design
- Prototyping & testing
- Winning design-ins

KEY RESOURCES

- Motor IP & patents
- Engineering team
- Manufacturing & capital

VALUE PROPOSITIONS

- High performance, zero rare earths
- Supply-chain resilience
- Long-term cost stability

RELATIONSHIPS

- Long design-in cycles
- Multi-year supply deals
- Co-engineering

CHANNELS

- Direct to OEM engineering
- Defense procurement
- Design-win partnerships

CUSTOMER SEGMENTS

- Automotive OEMs
- Defense / aerospace primes

COST STRUCTURE

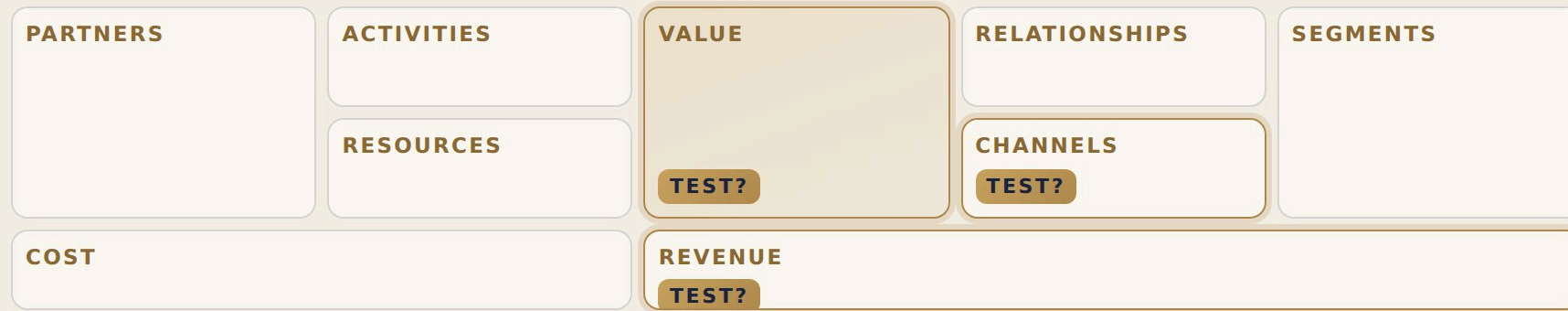
- R&D · capex
- COGS (materials, labor)
- Long-cycle BD

REVENUE STREAMS

- Per-unit motor sales
- NRE / dev contracts
- Possible IP licensing

Built from public positioning - the room's real answers replace these

NOW THE REAL QUESTION



An initial canvas is just a
stack of hypotheses.

Now we develop tests to prove or disprove them. **The temptation is to defend your canvas; the discipline is to attack it.** Which box would you least want to be wrong about?

a bench test

a paid design-in

a pre-sale

a supplier quote

Test the riskiest box first - before you build.

BEFORE WE MEET AGAIN

Your turn.

- Build a Business Model Canvas on your idea - or an existing company.
- Have **Claude** evaluate it: missing items, hidden costs, alternative business models.
- Then work with Claude to develop a **validation plan** for your riskiest boxes.
- Post your BMC & test plan on **Discourse**.

Claude drafts and stress-tests - the judgment stays yours. The validation plan is the real work, and Discourse is where the cohort sharpens it.

NEXT SESSION · SESSION 04

You sized one unit tonight. Next: Creating a Financial Model.

The numbers behind the bets.

A model is a set of bets. Go find the one that matters - and test it.